WAVERLEY GATEWAY GUIDE

Connecting International Capital

ITALY

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Milan and Lombardy	Italy's financial and business capital, attracting 44% of the country's foreign investment projects in 2025 and home to Borsa Italiana	Finance, fashion and design, life sciences, data centres, business services
Turin and Piedmont	Historic automotive and engineering centre in the North-West, the macro-region that hosted 59% of foreign projects in 2025	Automotive, aerospace, advanced manufacturing, robotics
Emilia-Romagna and Veneto	Dense networks of export-oriented, family-owned manufacturers in the north-east	Machinery, food processing, packaging, luxury vehicles
Rome and Lazio	Seat of government, state-owned groups and regulators	Public procurement, energy, aerospace, pharmaceuticals, tourism
Campania (Naples)	Largest recipient of Single Special Economic Zone (ZES Unica) authorisations, with 47.4% of approvals in the South	Aerospace, agri-food, logistics, automotive components
Puglia and Sicily	Southern regions within the ZES Unica, together accounting for over a third of authorisations, with strong solar and wind resources	Renewable energy, agri-food, logistics, tourism
Genoa and Trieste ports	Gateway ports on the Tyrrhenian and Adriatic seas linking Italy with Mediterranean, Central European and Asian trade	Port logistics, shipping, energy, industry

INVESTOR ENTRY ROUTES

- Invitalia, the national agency for investment and enterprise development, and the ICE Agency (Italian Trade Agency) support foreign investors with incentives, site search and introductions
- The Single Special Economic Zone (ZES Unica) for the South offers a single authorisation, typically within about 30 days, and investment tax credits; about 750 projects worth some €27.5 billion were authorised in its first 19 months
- A 24% corporate income tax (IRES) plus regional production tax (IRAP) at a standard 3.9%; the 2027 budget raises IRES for banks and insurers by three points

- Italy's €194.4 billion National Recovery and Resilience Plan, the largest in the EU, funding infrastructure, digital, energy and research projects through 2026
- Euro-area membership: the euro is the national currency, with free movement of capital under EU rules
- EU single-market and Schengen membership, giving goods, services, capital and people free movement across the EU
- Foreign investment screening under the "Golden Power" regime applies to defence, energy, telecoms, finance and other strategic sectors

MARKET-ENTRY OBSERVATION

Italy in November 2026 offers investors the EU's third-largest economy, a world-class manufacturing base and improving international standing. The EY Attractiveness Survey ranked Italy ninth in Europe for overall attractiveness, up from twelfth, with 206 foreign investment projects in 2025 and a stable 4.1% share of the European market; industrial products and mobility projects rose from 43 to 58, and data-centre projects quadrupled to eight. Investors from the United States, Germany, the UK, France and Switzerland lead. GDP grew 0.5% in 2025 and was 0.8% higher year-on-year in the third quarter of 2026. The €194.4 billion Recovery Plan, of which €153.2 billion had been received by February 2026, and the Single Special Economic Zone in the South, which authorised investments worth about €27.5 billion in its first 19 months, are driving investment in infrastructure, energy and southern industry.

Italy's main structural challenge is combining growth with fiscal consolidation and price stability. Public debt was 137.1% of GDP in 2025, the deficit narrowed to 3.1% of GDP, just above the level needed to leave the EU excessive deficit procedure, and the 2027 budget projects a deficit of 3.4% in 2027, using EU flexibility for energy and defence, before falling to 2.3% in 2029. Inflation rose to 5.4% in October 2026 as energy prices climbed 31.4%, while core inflation remained at 2.0%. Italy's strengths provide resilience: high household savings, a diversified export industry, euro-area membership and a government that has remained in office since 2022, one of the longest-serving in Italy's post-war history. For investors, this means opportunities in energy efficiency, renewables, infrastructure and southern development, with the 2027 general election a key milestone for policy continuity.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
High public debt and EU deficit procedure	Debt of 137.1% of GDP and a 2025 deficit of 3.1% keep Italy in the excessive deficit procedure, with a 3.4% deficit planned for 2027	The government targets exit in 2027 and a 2.3% deficit by 2029; model a range of tax outcomes, particularly for financial and energy firms
Energy-driven inflation	Inflation reached 5.4% in October 2026, with energy prices up 31.4% year-on-year	Core inflation is 2.0%; secure long-term energy contracts and use Italy's solar and wind potential to manage costs
Sector-specific tax increases	The 2027 budget raises IRES for banks to 30.5% and insurers to 27%, and doubles the financial transaction tax to 0.4% for larger listed companies	Most sectors are unaffected; take tax advice on financial-sector structures and track parliamentary changes
Slow growth	GDP was flat in the third quarter of 2026 and the IMF expects growth of about 0.5% a year to 2027	Target sectors supported by Recovery Plan, ZES Unica and energy-transition spending, where demand is stronger
Bureaucracy and judicial timelines	Permitting and civil justice can be slow, and a constitutional justice reform was rejected in the March 2026 referendum	Use the ZES Unica single authorisation, Invitalia support and arbitration clauses in contracts
Foreign investment screening	Golden Power rules require notification of acquisitions in strategic sectors	Engage the Presidency of the Council of Ministers early; most notified transactions proceed, sometimes with conditions
Regional disparities	Infrastructure and skills vary between the North and the South	ZES Unica incentives and Recovery Plan investment are narrowing the gap and lowering costs for southern projects

INVESTOR RISK NOTE

Italy's risk profile is that of a large, diversified EU and euro-area economy with a strong industrial base, high private savings and a government that has been stable since 2022. As a founding member of the EU and a member of the Financial Action Task Force, it offers investors legal certainty under EU law and a mature financial system, and the ECB, which held its deposit rate at 2.50% on 29 October 2026, sets monetary policy. The main issues are fiscal and price-related: public debt of 137.1% of GDP, an excessive deficit procedure the government aims to exit in 2027, and inflation of 5.4% in October 2026 driven by energy. The March 2026 rejection of the justice reform referendum was a setback for the government but did not destabilise it, and the next general election is due in 2027. None of these issues restricts lawful investment, and investors can manage them through energy planning, tax advice and early engagement with the authorities.

MARKET ACCESS

As a founding member of the EU, Italy gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro-area and Schengen membership remove currency and border frictions with its main partners, led by Germany, France and the United States, which are also among the largest sources of foreign investment. Italy's long coastline and central Mediterranean position make its ports, including Genoa, Trieste and the southern ports within the ZES Unica, natural gateways between Europe, North Africa, the Middle East and Asia. Alpine road and rail links connect northern industry with Central European supply chains, and Italy's world-renowned brands in fashion, food, design and machinery give it a strong export platform.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Council of Ministers (Prime Minister Giorgia Meloni)	Sets economic and fiscal strategy and oversees Golden Power screening and the Recovery Plan	Primary reference point for strategic direction and major projects
Invitalia	National agency for investment attraction and enterprise development, managing major incentive schemes	Standard first point of contact for incentives and large investments
Banca d'Italia (Governor Fabio Panetta)	Part of the Eurosystem; its governor sits on the ECB Governing Council, and it supervises banks with the ECB	Relevant for banking, payments and financial-sector matters
Ministry of Economy and Finance (Minister Giancarlo Giorgetti)	Leads the budget, tax policy and negotiations with the EU on the deficit procedure	Key counterpart on tax and fiscal matters
ICE Agency (Italian Trade Agency)	Promotes trade and foreign investment through a global office network	Useful channel for introductions and sector intelligence
ZES Unica Mission Structure	Issues single authorisations for investment projects in the southern regions	Counterpart for fast-track approval of southern projects
Cassa Depositi e Prestiti (CDP)	State-controlled financial institution investing in infrastructure, strategic companies and public projects	Co-investment and financing partner for large projects

CURRENT INTERNATIONAL BUSINESS CHANNELS

Confindustria, the main employers' federation, and its regional associations, together with the Italian chambers of commerce network, are the principal business channels, with regular dialogue with government. The American Chamber of Commerce in Italy, the British Chamber of Commerce for Italy and the Italian-German Chamber of Commerce support international investors, and ICE Agency offices abroad and Invitalia run investor events. Cassa Depositi e Prestiti, SIMEST for internationalisation finance and the European Investment Bank provide co-financing, while Recovery Plan and ZES Unica schemes offer support for qualifying projects. Major trade fairs in Milan, Bologna and Verona are key meeting points for industry, and embassies of major partners maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Italy suits investors seeking a large consumer market and world-class manufacturing inside the EU and the euro area: manufacturers in machinery, automotive, aerospace and food processing serving European supply chains; investors in renewables, grids and energy efficiency responding to high energy costs; logistics and industrial investors using ZES Unica incentives in the South; data-centre and digital investors around Milan; and acquirers of quality family-owned businesses and brands. Financial-sector investors should factor in the 2027 tax changes, and acquisitions in strategic sectors require Golden Power notification.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invitalia and the ICE Agency
Open direct dialogue on incentives, sites and introductions, and test eligibility for national and regional support schemes.

STEP 2: Assess the ZES Unica for southern projects
Compare sites in Campania, Puglia, Sicily and other southern regions, and prepare a single-authorisation application and tax-credit claim.

STEP 3: Map Recovery Plan and EU funding
Identify remaining Recovery Plan and cohesion programmes that can co-finance energy, digital, infrastructure or research components.

STEP 4: Plan for fiscal and energy developments
Track the 2027 budget through parliament, the deficit procedure and the 2027 election, and build energy-price scenarios into financial models.

STEP 5: Check Golden Power requirements early
Confirm whether an acquisition falls within Golden Power screening and notify the Presidency of the Council of Ministers before closing.